STRATEGY CASE · INDIA QUICK COMMERCE

Fill the stores before you build more

A plan to add ₹1 lakh of daily sales to every Swiggy Instamart dark store, and why that is the cheapest way across break-even

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₹5.52L
NOV per store per day today

₹6.56L
after the plan

Independent analysis of public filings (Swiggy and Eternal shareholder letters, Zepto UDRHP). Baseline: Q1FY27, quarter to 30 June 2026. Not affiliated with any company.

THE ANSWER, ON ONE PAGE

₹1 lakh more per store per day takes Instamart across contribution break-even for good, without a single new store

Problem

Instamart sells the same basket as Blinkit (₹508 vs ₹518 net) but each store sells ₹5.5L a day against ₹8.0L. 74% of the ₹71 per-order EBITDA gap to Blinkit is volume, not price.

Root cause

Capacity was built ahead of habit. Users order 2.83 times a month vs 3.47 at Blinkit, which is 63% of the throughput gap. Stores run at about 40% of capacity.

Plan

Four habit plays on the existing 1,171 stores: Morning Ritual + fresh, a Swiggy-to-Mart bridge, winning back lapsed users, and a bigger basket. Together +₹1.04L per store per day.

Payoff

Contribution −0.3% → +0.8% of NOV. About ₹4,400 Cr more NOV a year, ~₹220 Cr net of programme cost, and 470 fewer stores needed to reach Swiggy's ₹60,000 Cr break-even scale.

Not solved

Company-level EBITDA break-even still needs ~₹9.7L per store per day plus Swiggy's own per-order levers (ads, mix, inventory model). This is the first, cheapest step.

+₹1.04L
NOV per store per day, no new stores

−0.3% → +0.8%
contribution margin, % of NOV

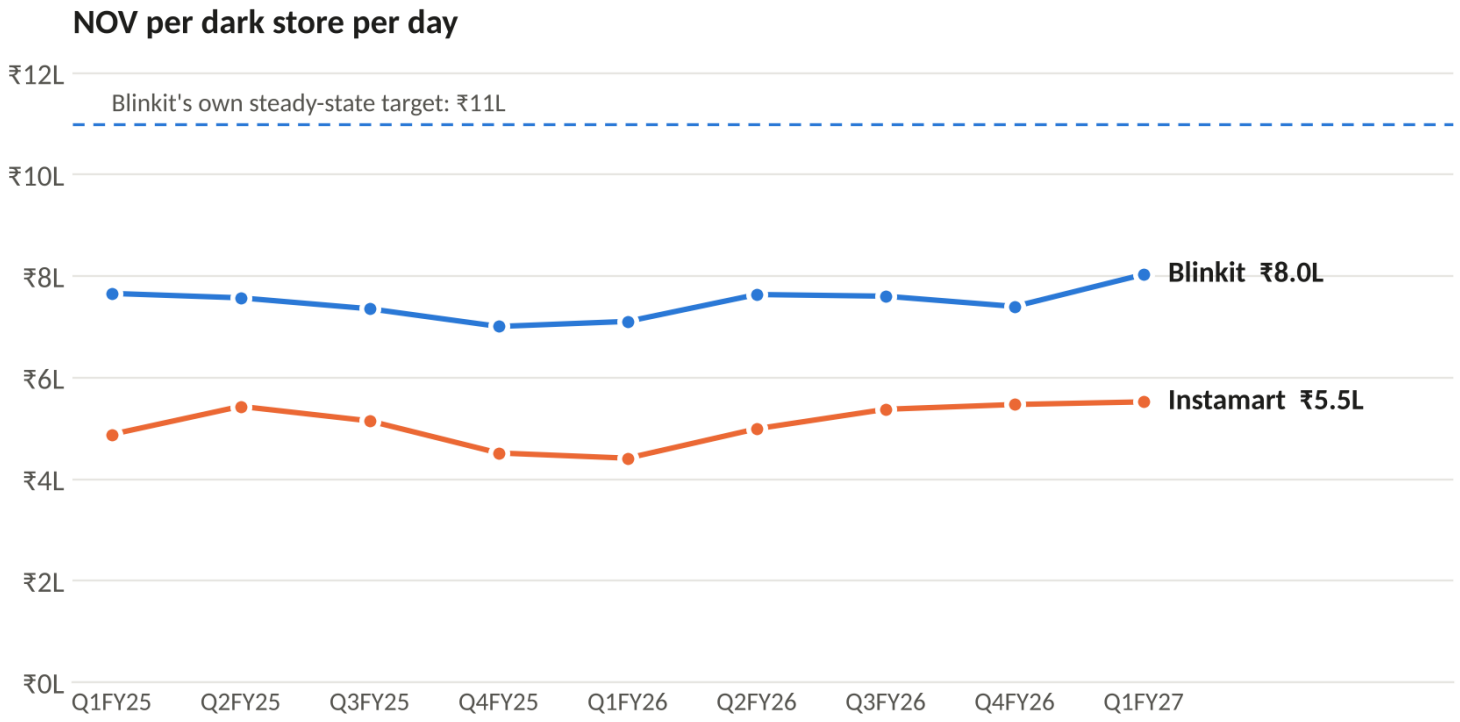
45% → 67%
stores contribution-positive

470
fewer stores to reach ₹60k Cr (~₹1,176 Cr capex)

Q1FY27 filings; my model (model.py). Contribution-positive store share uses an assumed spread of store throughput, see appendix.

SITUATION

Same basket, emptier stores: an Instamart store sells 31% less a day than a Blinkit one



₹508 vs ₹518

net basket (AOV), Instamart vs Blinkit. Basically equal.

1,089 vs 1,552

orders per store per day

₹72k vs ₹38k

HQ, tech and brand cost carried per store-day

~40%

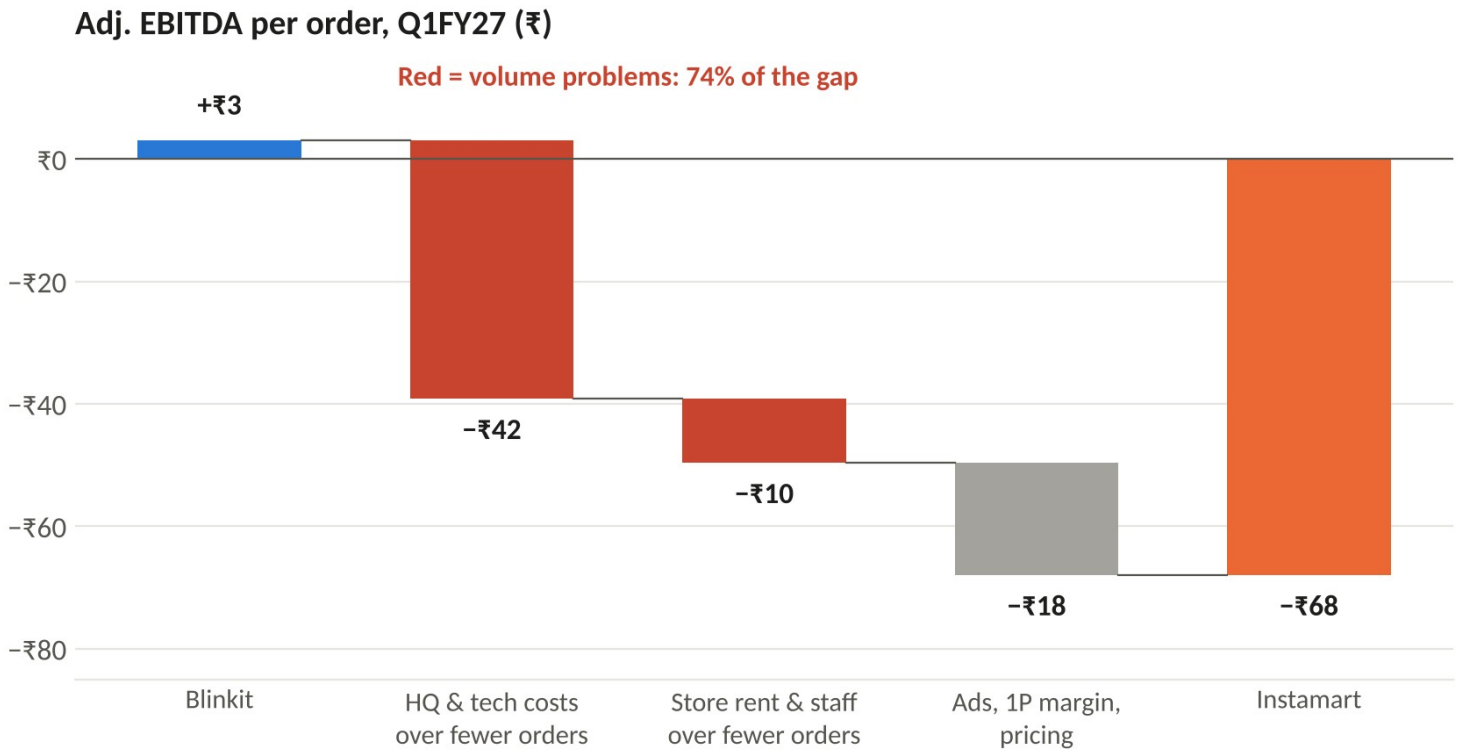
Instamart store utilisation (Swiggy, Q1FY27)

63% → 75%

Blinkit's share of the two players' combined NOV, Q1FY25 → Q1FY27

Swiggy and Eternal shareholder letters Q1FY25–Q1FY27. NOV per store-day computed as NOV ÷ average stores ÷ 91; tracks Blinkit's own published figure within ±4%.

Three-quarters of Instamart's ₹71 per-order gap to Blinkit comes from spreading costs over too few orders

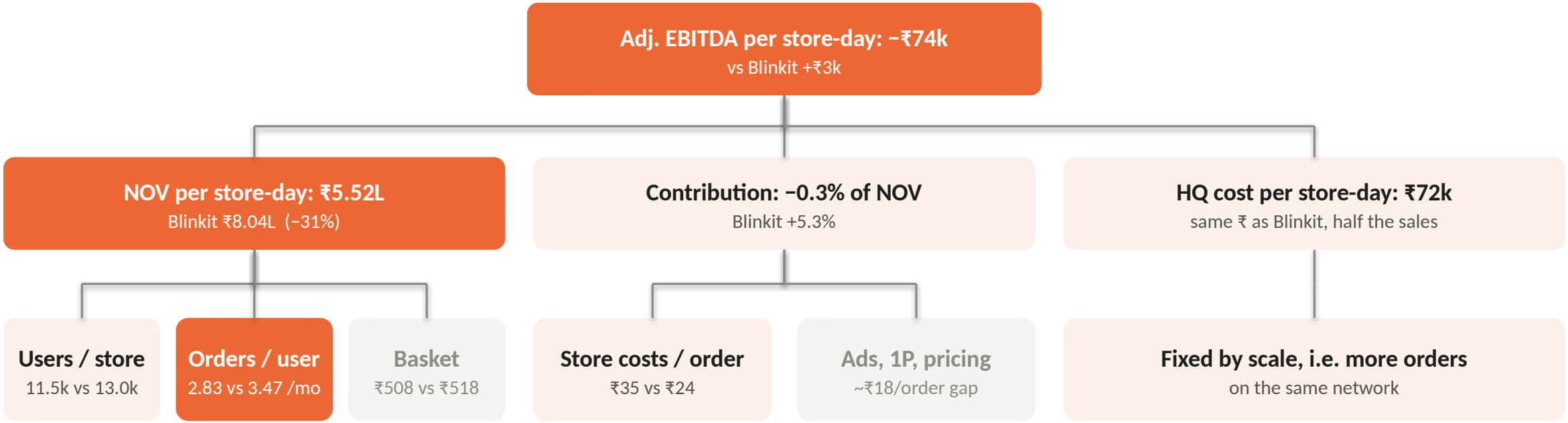


How to read it

- Blinkit makes +₹3 per order, Instamart loses ₹68.
- ₹42 of the gap: HQ, tech and brand costs are similar in rupees (₹762 Cr vs ₹805 Cr a quarter) but Instamart spreads them over a third of the orders.
- ₹10: the same rent and staff, fewer orders through the door.
- ₹18: genuinely per-order. Ads, Blinkit's inventory-led margin, discounts. Swiggy's own plan already targets this.
- So the first question is not "how do we earn more per order" but "why are there so few orders per store".

Q1FY27. HQ cost = contribution minus Adj. EBITDA. Store rent and staff assumed at ₹38k per store-day for both players (see appendix). The residual is everything else inside contribution.

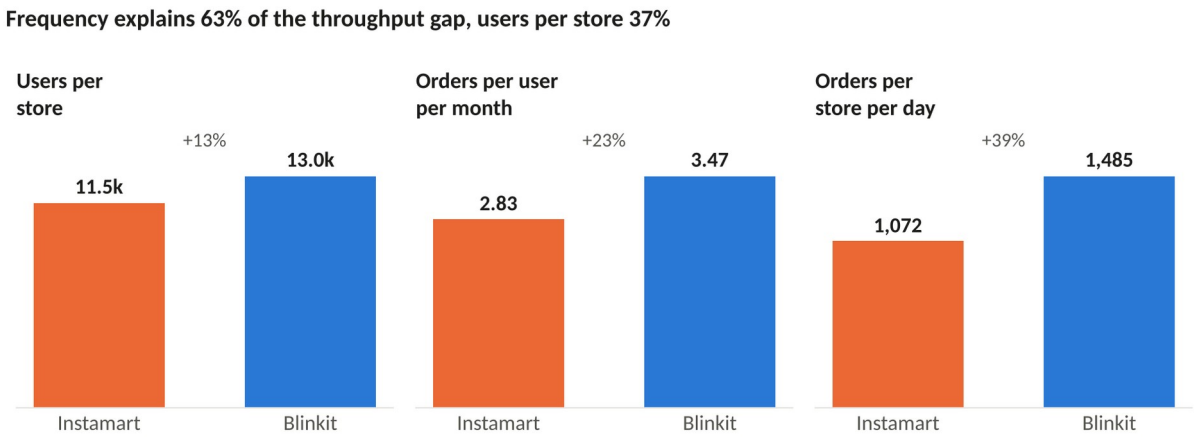
Following the tree down, every branch that explains the gap ends at one thing: too few orders per user



Read across the tree. Orange = explains the gap, tint = a consequence of it, grey = ruled out or already being worked on. Store-cost and HQ-cost problems shrink by themselves once orders per store rise, so the branch to attack is orders per user.

Q1FY27. Users per store = MTU ÷ stores. Orders/store/day = users per store × orders per user per month × 12 ÷ 365.

The root cause: Instamart built stores faster than it built the habit of ordering from them



So the fix is a habit fix. Get the users already inside each store's radius to order one more time a month, and pull in the Swiggy users who live there but don't use Instamart.

1 Why do stores lose money?

They sell ₹5.5L a day; costs are set for ₹8L+.

2 Why so little per store?

1,089 orders a day against 1,552 at Blinkit, on the same basket.

3 Why so few orders?

Each user orders 2.83×/month vs 3.47×. Frequency is 63% of the gap, users per store 37%.

4 Why so infrequent?

It's a top-up and stock-up app, not a daily one: milk, eggs and vegetables still come from the kirana and the doodhwala. 39% of new users don't return in month one.

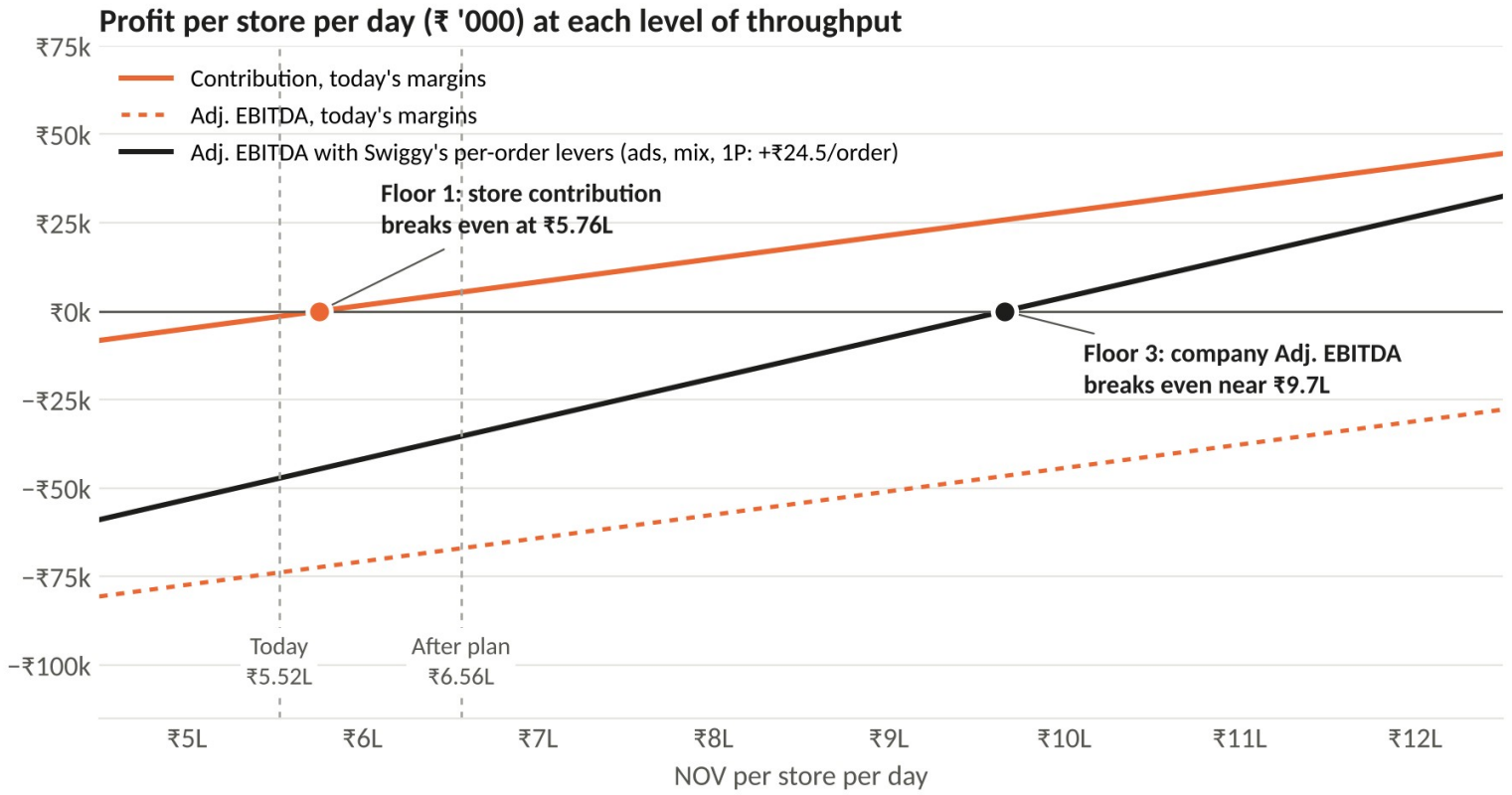
5 Why?

316 stores opened in one quarter (Q4FY25) into catchments with no habit yet, then ~4M low-value users were cut. Capacity ran ahead of demand: ~40% utilisation.

Swiggy shareholder letters (Q4FY25 store additions, Q1FY26 on weaning off ~4M low-value users, Q1FY27 utilisation and M1 retention). The Q1FY26 user cut-off is the company's own explanation for the frequency drop.

WHAT 'BREAK-EVEN' MEANS HERE

Break-even has three floors. ₹1 lakh more per store clears the first two; the third needs Swiggy's per-order levers too



1 **Network contribution ≥ 0** — Cleared

Average store clears ₹5.76L. Swiggy touched this in May-26 for one month. The plan holds it at +0.8%.

2 **Most stores in the black** — Cleared

Contribution-positive stores go from 45% to 67%.

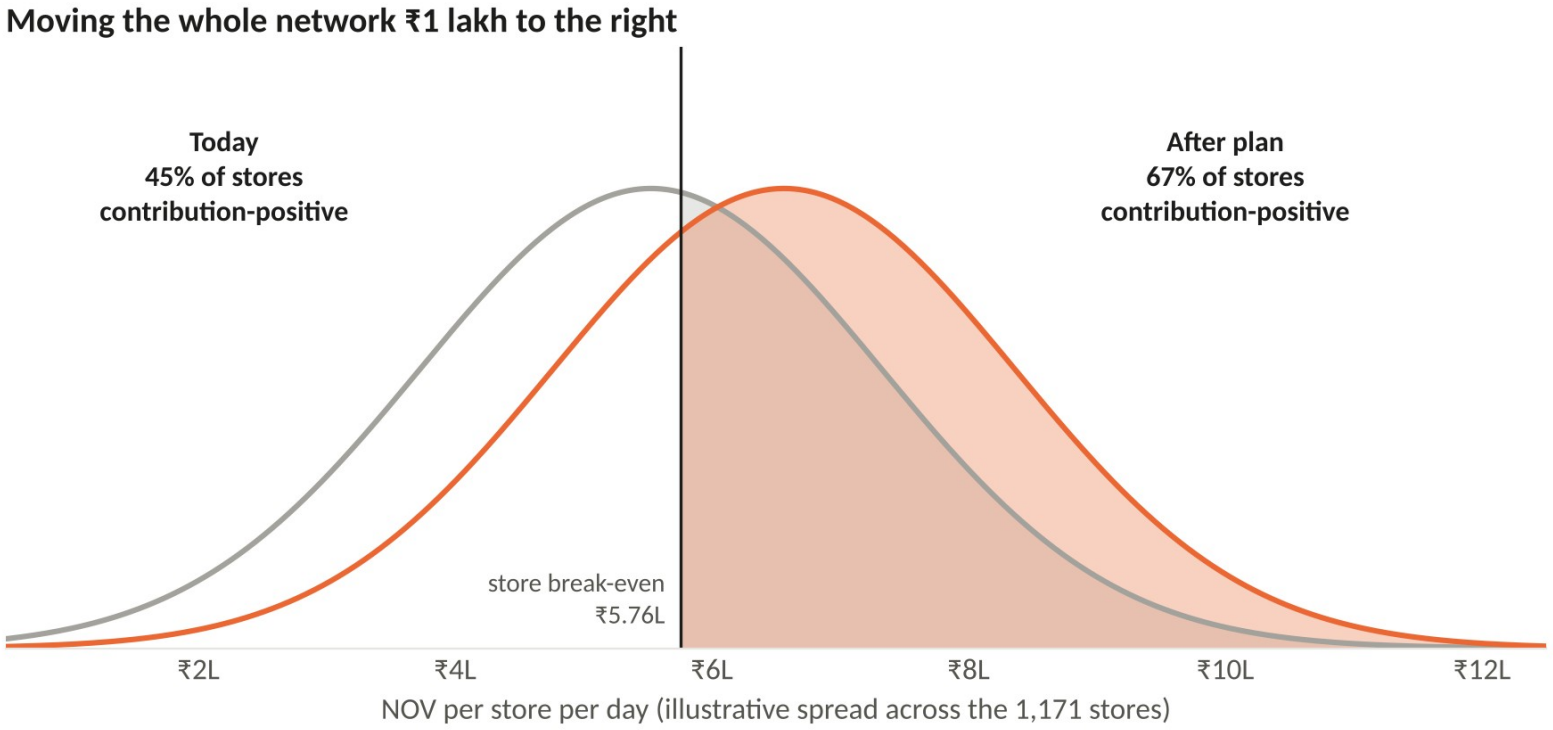
3 **Company Adj. EBITDA ≥ 0** — Next

Needs ~₹9.7L per store per day once ads, mix and the inventory model land. Blinkit's own steady-state target is ₹11L.

My model. Store variable margin 6.6% of NOV; store rent and staff ₹38k/day; HQ cost ₹72.4k/store-day held flat (no new stores). Per-order levers from Swiggy's Q1FY27 bridge: ads ₹10, mix ₹10, inventory model ₹4.5.

WHAT IT DOES TO THE NETWORK

Moving every store ₹1 lakh to the right turns two out of three stores contribution-positive, up from fewer than half



Why this matters more than the average.

A store that covers its own rent and staff can be left alone. A store that doesn't has to be fixed, moved or shut, and every one of those costs management time.

Not every store moves equally.

The plays work best where there are many households in the radius and the store is under-used. The pilot picks those first (slide 15).

Stores still below the line after a year are candidates for consolidation, not more spend.

Swiggy reported >45% of stores CM-positive in Q1FY27. The spread (normal, σ = ₹1.8L) is my assumption, chosen so the break-even line from the cost split reproduces that 45%. Store-level data would replace it.

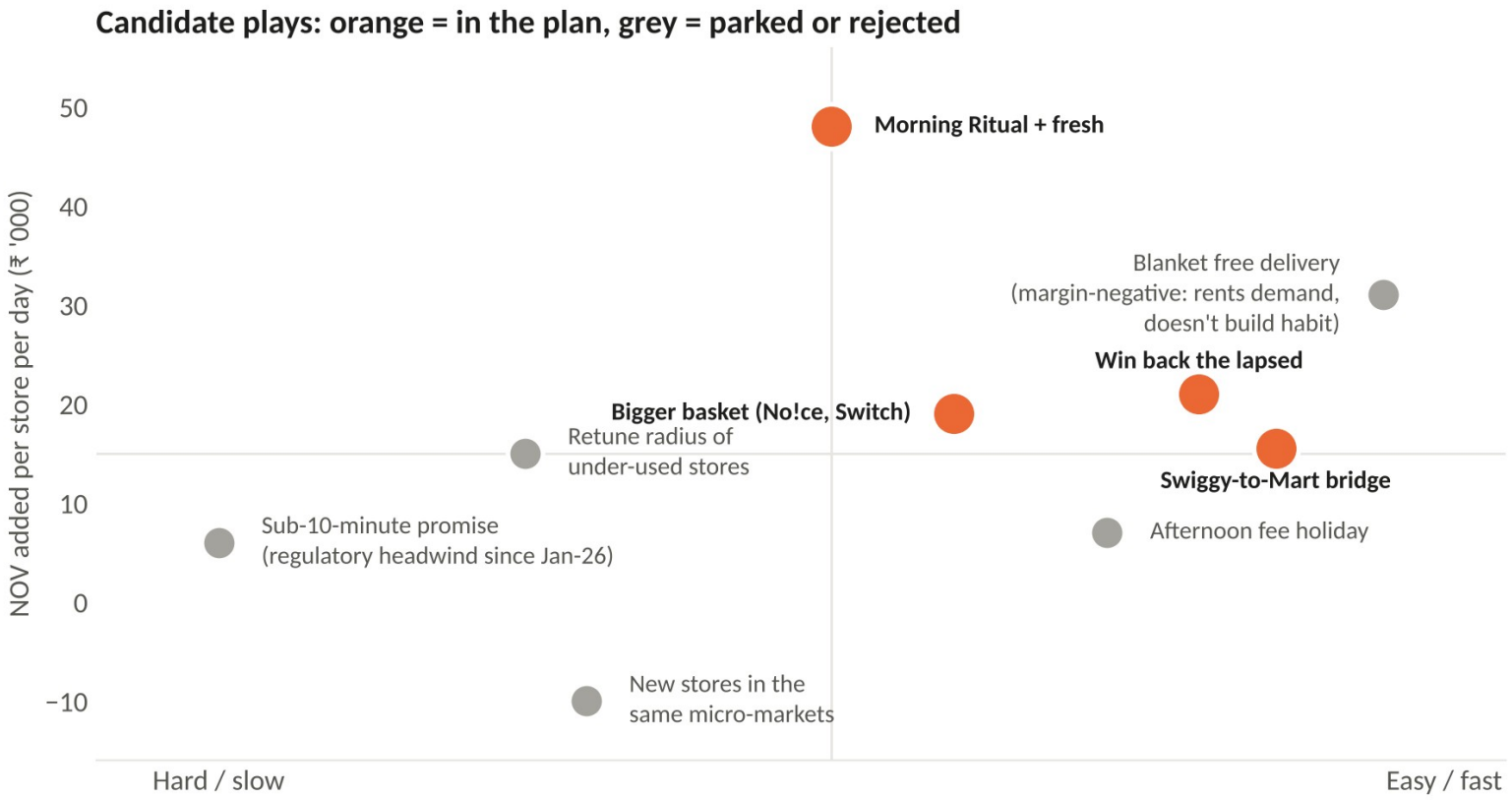
Working through CIRCLES from one store's catchment, the answer is a daily habit rather than a discount

C	**Comprehend**	Add ₹1L NOV per store per day on the 1,171 stores open today, inside four quarters. No new stores in the same micro-markets. Every added order must earn positive contribution. Speed is off the table: platforms were asked to drop the 10-minute promise in Jan-26.
I	**Identify customers**	Five people in one catchment: the daily-essentials household, the monthly stock-up planner, the late-night impulse buyer, the Swiggy food user who has never opened Instamart, and the one-time user who never came back.
R	**Report needs**	Milk before 7 am and vegetables they trust. Prices close to DMart for the big basket. No reason to open a second app. A first order that didn't disappoint (stock-outs, bruised fruit).
C	**Cut**	Rank by orders added per store-day × how habit-forming the behaviour is ÷ cost to margin. Frequency first: it is 63% of the gap.
L	**List**	Nine candidates, from a morning subscription slot to blanket free delivery (next slide).
E	**Evaluate**	Contribution per added order, cannibalisation of existing orders, peak-hour SLA risk, how easily Blinkit or Zepto can copy it.
S	**Summarise**	Four plays, +₹1.04L per store per day, contribution to +0.8% of NOV.

CIRCLES: Comprehend, Identify customers, Report needs, Cut through prioritisation, List solutions, Evaluate trade-offs, Summarise. Average store catchment = 13.5M MTU ÷ 1,171 stores ≈ 11.5k monthly users.

CUT THROUGH: WHAT GOES IN, WHAT STAYS OUT

Four plays make the cut. Blanket discounts would add more orders, but they rent demand instead of building it



Parked, not killed

Radius retune. With the 10-minute promise gone, an under-used store could serve a wider radius in 15–20 minutes. Big lever, but it needs rider and SLA work. Phase 2.

Afternoon fee holiday. Small on its own; folded into the morning-slot test as a variant.

Rejected

Blanket free delivery: margin-negative, and Blinkit can match it the next day.

Faster promise: regulatory headwind and no frequency evidence.

New stores in served micro-markets: splits existing demand and lowers throughput.

Impact = NOV per store per day from the sizing on slide 12; ease = my judgement of build time and operational risk. Blanket free delivery sized at Q2FY27-style pricing investments (~100 bps of CM).

LIST SOLUTIONS: THE FOUR PLAYS

Each play attacks a different reason a household inside the radius isn't ordering more

1 Morning Ritual + fresh

+₹48k · +95 orders/day

Subscribe once to milk, bread, eggs, curd and a fruit-and-veg box, delivered 6–9 am on batched routes. Mornings are the quietest hours for a dark store, so this uses capacity that is already paid for. Scale Nectr (curated fresh produce, live in Bengaluru) to the top metros with a no-questions replacement promise.

Target: Orders per user per month 2.83 → 3.08

2 Swiggy-to-Mart bridge

+₹17k · +34 orders/day

About 12.7M people use Swiggy every month but not Instamart (26.2M platform users vs 13.5M). Offer tomorrow's milk on the food-tracking screen: one cart, one delivery fee, Swiggy One on both. Near-zero acquisition cost.

Target: 8% of food-only users in a radius try Instamart

3 Win back the lapsed

+₹19k · +38 orders/day

Roughly 4 in 10 new users don't come back in month one. Find out why per user (a stock-out on the first order, a late delivery, a price shock) and send the fix, not a blanket coupon. Capped cohort pricing, like the ₹9 store.

Target: ~580 users per store back at 2 orders/month

4 Bigger basket

+₹19k · +₹15 net AOV

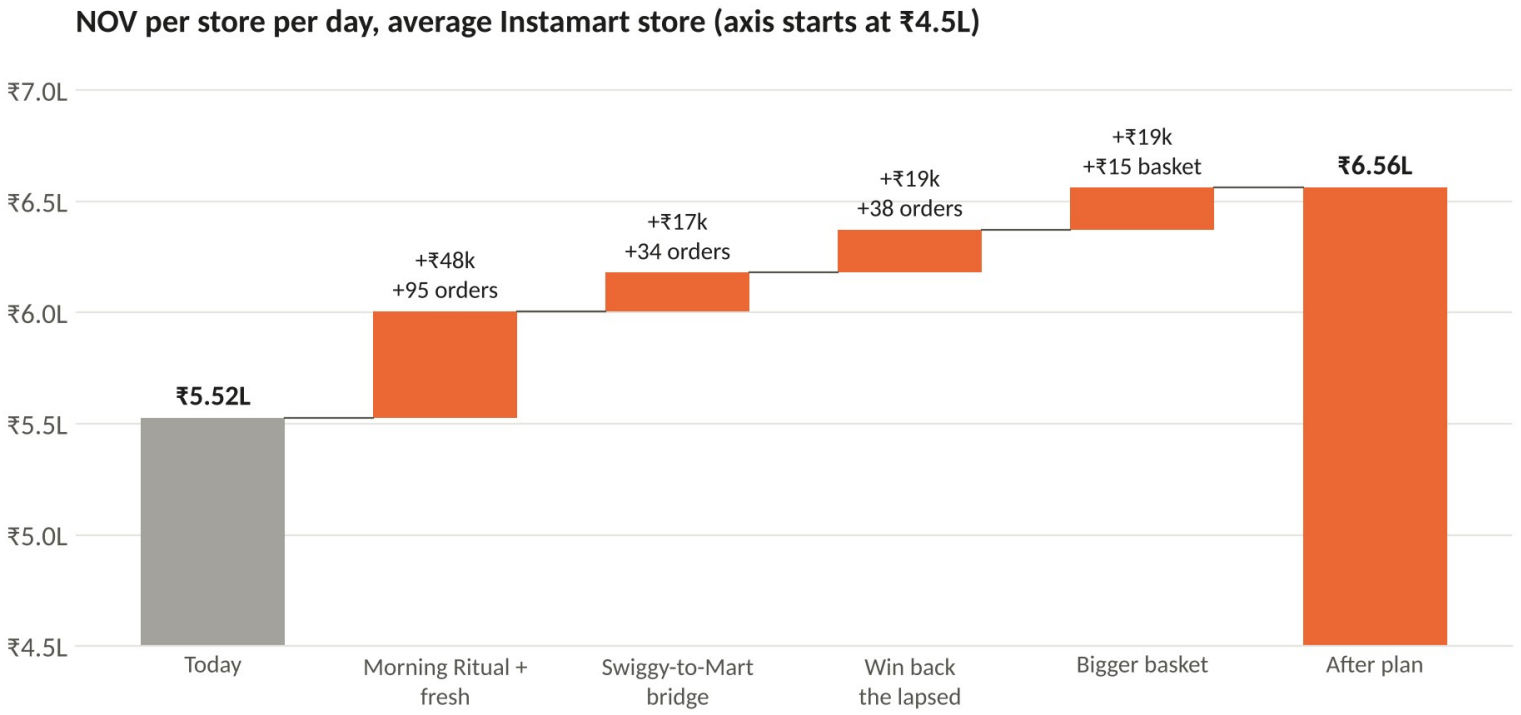
Private label (No!ce is already in more than 1 in 8 orders and is margin-accretive), 'finish the recipe' add-ons, and Maxxsaver thresholds set per store from its own basket data rather than one national number.

Target: Net AOV ₹508 → ₹523

Swiggy platform MTU 26.2M vs Instamart MTU 13.5M (Q1FY27). M1 retention 61% (Q1FY27). Nectr and No!ce from Swiggy's Q2FY27 letter. Per-store figures are averages; sizing on the next slide.

SIZING

Added up for an average store, the four plays take NOV from ₹5.52L to ₹6.56L a day



Assumption	Value
Users per store	11.5k
Frequency uplift	+0.25 /month
Bridge converts	520 users
Lapsed won back	580 users
New users' frequency	2.0 /month
Basket uplift	+₹15
Orders added	+167 /day
Utilisation after	~46%

Even after the plan, stores run under half capacity. There is room to do this twice before a new store is needed.

Per-store catchment = 13.5M MTU ÷ 1,171 stores. Orders × ₹508 net AOV. Basket play applied to all orders after the other three. Utilisation scaled from Swiggy's ~40%.

One north star, five HEART signals and three guardrails, so the habit is measured rather than assumed

	Goal	Signal	Metric	Target
Happiness	People trust the morning and fresh orders	Fewer complaints on fresh	Fresh complaints per 1,000 orders; slot CSAT	Below today; CSAT ≥ 4.5
Engagement	Instamart becomes a daily app	More orders, more categories per user	Orders per MTU per month	2.83 → 3.08
Adoption	The new behaviours get picked up	Sign-ups and first orders	% MTU on Morning Ritual; % food-only users trying Mart	8–10%; 8%
Retention	First-timers stay	Users still ordering after a month	M1 retention; day-60 survival of won-back users	61% → 65%; ≥ 40%
Task success	The order arrives complete and on time	Fewer substitutions and misses	Fill rate on top-200 SKUs; on-time % in 6–9 am slot	≥ 98%; ≥ 95%

North star

NOV per store per day

₹5.52L → ₹6.52L+

Guardrails (stop if breached)

Contribution per added order ≥ ₹20 · peak-hour on-time % no worse than control · rider earnings per hour no lower than before

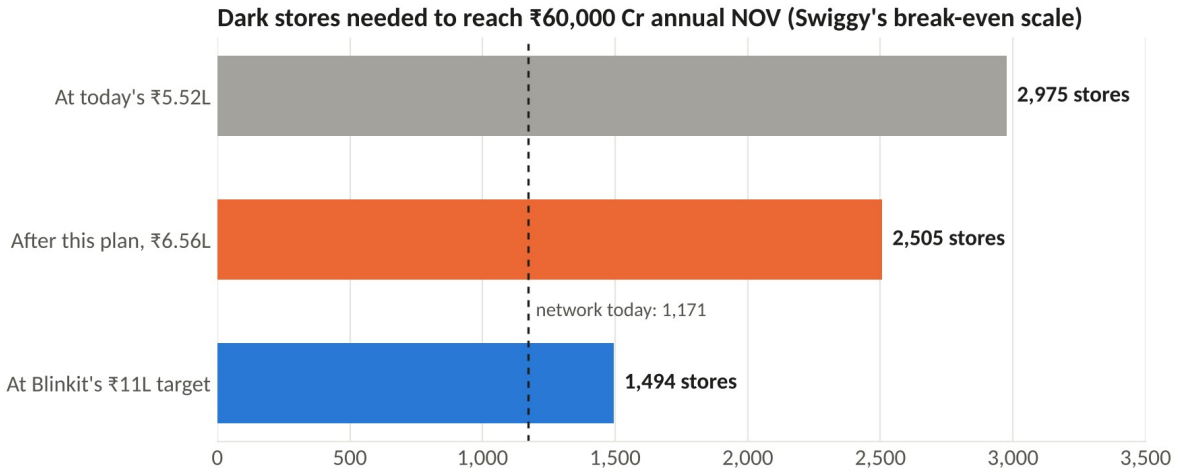
HEART: Happiness, Engagement, Adoption, Retention, Task success (Google's UX metrics framework). Targets are for pilot stores at day 120; baselines from Q1FY27 filings where public.

THE MONEY

About ₹220 Cr a year of net contribution, and ~470 fewer stores to build

Per year, whole network	₹ Cr
Added NOV	+4,432
Contribution on it (6.6%)	+293
Programme spend (₹10 per added order)	−71
Net contribution	+221
Today's annualised Adj. EBITDA loss	−3,112
Net, if the plays deliver only half	+109

- ₹221 Cr closes about 7% of the EBITDA loss. That's honest, not heroic.
- The bigger prize is on the right: the same ₹60,000 Cr of break-even NOV with 470 fewer stores, about ₹1,176 Cr of capex not spent.



470
fewer dark stores to reach ₹60,000 Cr of annual NOV

₹1,176 Cr
capex not spent, at ₹2.5 Cr per store

Annualised on 1,171 stores. Marginal contribution = store variable margin (6.6%); store rent and staff are already paid. Capex at ₹2.5 Cr per store is Blinkit's guided figure; Instamart doesn't disclose its own.

HOW I'D ROLL IT OUT

Prove it in 60 stores, scale it in the metros, then make it the default, with a stop rule at every gate

Days 0–30
Set up

- Weekly store league table: NOV/store/day, utilisation by hour, fill rate
- Pick 60 pilot + 60 matched control stores (same city, vintage, throughput band)
- Freeze new stores where utilisation < 60%

Days 30–120
Pilot

- Morning Ritual + bridge in Bengaluru and Pune pilot stores
- Win-back and basket tests at user level inside them
- Read difference-in-differences on NOV/store/day, CUPED on pre-period

Days 120–240
Scale metros

- Gate: ≥ +₹40k/store/day vs control, ≥ ₹20 contribution per added order
- Roll out to the top 8 metros (most of the network's NOV)
- Start radius-retune trial in the weakest stores

Days 240–365
Default

- Whole network; morning slot and bridge become standard
- Stores still below break-even: consolidate or relocate
- Re-open expansion only where stores pass ~60% utilisation

Stop rule. If pilot stores are less than ₹20k a day ahead of control at day 120, or the added orders earn under ₹10 of contribution each, stop scaling and move the budget to radius retuning and store consolidation. A plan that can't say when it's wrong isn't a plan.

Store-level randomisation because the plays change store capacity, not just one user's experience. Messaging variants inside pilot stores are user-level A/B tests.

RISKS

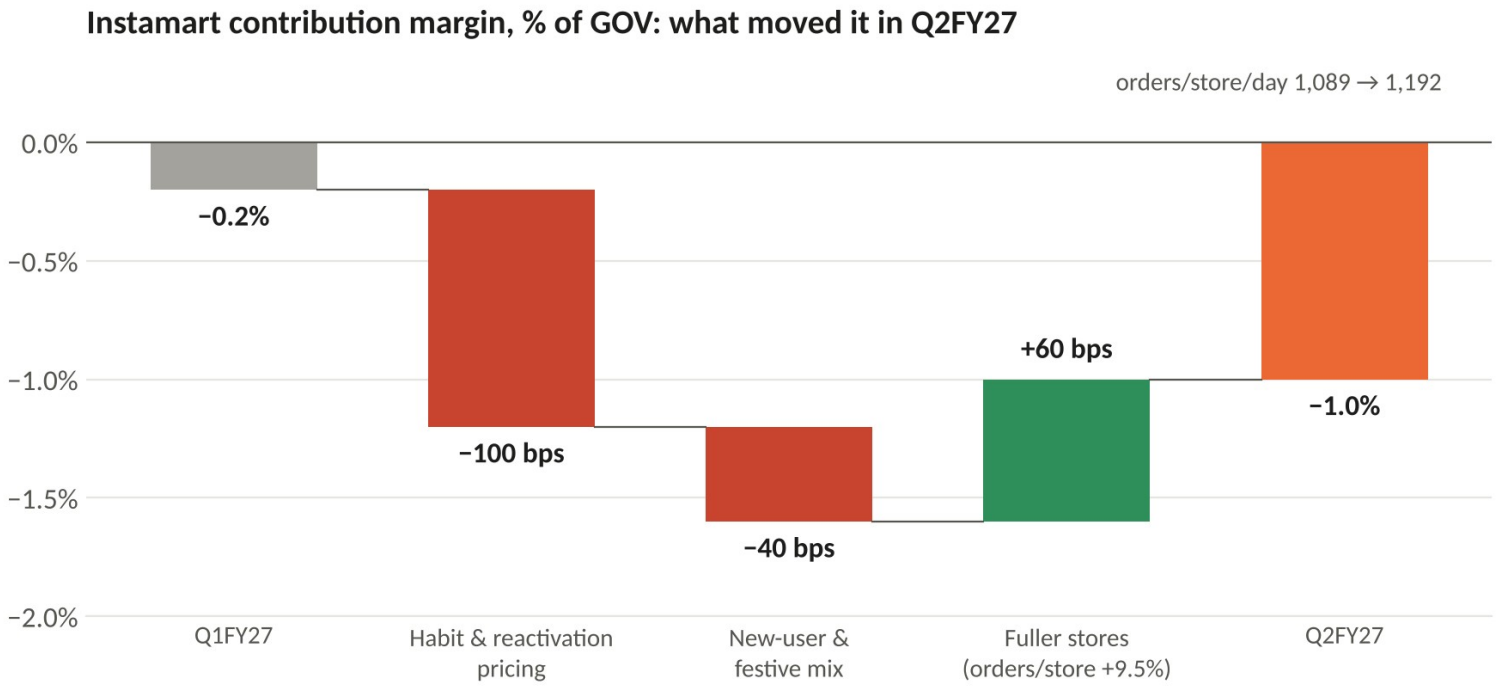
What could go wrong, and what would change my mind

Medium	**Competitors match it**	Blinkit (2,443 stores), Zepto, Flipkart Minutes (1,000+) and Amazon Now can copy a discount overnight. A subscription habit and the food-app bridge are much harder to copy.
High	**Orders move rather than grow**	The morning slot could just shift orders users would have placed anyway. Measure orders per user per month, never slot orders alone.
Medium	**Morning ops are hard**	Cold chain for milk, a 5:30 am shift, riders at dawn. Start with stores near dairy partners; batching raises rider earnings per hour.
Medium	**Gig-worker cost rises**	The new labour codes add 1–2% of turnover. Plays that raise drops per trip absorb it; plays that add single-item trips don't.
Low	**My cost split is off**	The ₹38k store cost is an estimate. At ₹30k–45k, and even at half delivery, contribution still ends positive.

Labour-code social security: 1–2% of turnover, capped at 5% of payouts (Nov-25). Competitor store counts: Business Standard, Aug-26.

POSTSCRIPT: Q2FY27 CAME OUT WHILE I WAS WRITING THIS

The next quarter shows both halves of the argument: fuller stores paid off, discounts and new stores gave it back



Density worked. Orders per store rose 9.5% and Swiggy credits that with +60 bps of contribution. NOV per store per day reached about ₹6.0L, half of this plan's target in a single quarter.

Then it was spent. 100 bps went on habit and reactivation pricing, 40 bps on mix, and 69 new stores (as many as the previous three quarters together) carried start-up losses. Contribution fell to −1.0%.

Reading for this plan: the throughput lever is real and roughly the size I assumed (the 60 bps is one of the two ways I sized store cost). Buy the habit with product, not price, and hold the store count.

Swiggy Q2FY27 shareholder letter (Oct-26): orders per store per day 1,089 → 1,192; 69 stores added; CM bridge as disclosed by the company. NOV per store-day computed the same way as slide 3.

APPENDIX: ASSUMPTIONS AND SOURCES

Everything I had to assume, and where every number comes from

Assumption	Value	Basis
Store rent + staff	₹38k/day	4,200 sq ft × ~₹100/sq ft/month + ~30 staff; cross-checked on Q2FY27's 60 bps
Store variable margin	6.6%	Implied by contribution and the line above
Spread of store sales	σ ₹1.8L	Reproduces '45% of stores CM-positive'
Programme spend	₹10/order	About a third of marginal contribution
Capex per store	₹2.5 Cr	Blinkit guidance; Instamart not disclosed
Per-order levers	₹24.5	Swiggy: ads ₹10, mix ₹10, inventory ₹4–5
Play inputs	slide 12	Set in model.py; tests pin every headline number

Sources

Swiggy shareholder letters Q1FY26, Q4FY26, Q1FY27, Q2FY27 (swiggy.com/corporate)

Eternal shareholder letters Q3FY25, Q4FY25, Q1FY27, Q2FY27 (eternal.com/investor-relations)

Zepto abridged UDRHP, June 2026 (sebi.gov.in)

Business Standard on dark-store additions, Aug-26; TechCrunch on the 10-minute directive, Jan-26; Fisher Phillips on India's labour codes

Consulting structure: IIM Ahmedabad Consult Prep Book 2025–26 (profitability trees, phased recommendations)

Model, charts and this deck are rebuilt from code: densification-strategy/ in the case-study repo.

Instamart doesn't need more stores yet. It needs a reason to order every morning.

Fund a 60-store pilot of Morning Ritual and the Swiggy-to-Mart bridge. If it clears +₹40k per store per day by day 120, scale it. If it doesn't, the stop rule says so.

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